LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Promoter Funding ?

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Tables of Contents

Modules	Page No.
Module 1: Theoretical Foundations and Product Philosophy of Promoter Funding	**3**
Module 2: Structural Comparative Taxonomy (The Credit Matrix)	**5**
Module 3: The End-to-End Operational Lifecycle of Promoter Funding	**7**
Module 4: Underwriting Framework and Key Credit Risk Metrics	**9**
Module 5: Legal Security Architecture, Depository Covenants, and Foreclosure	**11**
Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment	**12**
Module 7: Commercial Pricing Mechanics and Financial Models	**13**
Module 8: Regulatory Compliance, RBI Statutory Restrictions, and IRACP Asset Classification	**14**
Module 9: Comprehensive Real-World Case Study (Mumbai Enterprises Pvt. Ltd. / MEPL)	**16**
Module 10: 10-Question Professional Certification Examination & Rationales	**18**

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Module 1: Theoretical Foundations and Product Philosophy of Promoter Funding

1.1 The Concept of Promoter Funding

In corporate finance, **Promoter Funding** (often termed sponsor financing or share-pledge funding) represents a highly specialized, non-revolving or short-term structured debt facility designed to provide liquidity to the promoters (founders or controlling shareholders) of an enterprise against the pledge of their shareholding in the operating companies (OpCos). Unlike standard retail or general commercial loans that evaluate raw personal salary slips or physical real estate assets, Promoter Funding is an institutional-grade structured product. It is underwriting-centric, focusing almost exclusively on **share price volatility, dividend yields, free float velocity, and the enterprise value (EV) optimization** of the underlying operating companies.

This product bridges a critical corporate funding gap: it allows promoters to unlock the latent equity value of their holdings without liquidating their shares in the open market, thereby preserving their voting control, preventing hostile takeovers, and avoiding immediate long-term or short-term capital gains tax liabilities.

1.2 The Sovereign/Semi-Sovereign and Anchor-Led Substitution Paradox

A core philosophical pillar of structured corporate finance is the **Credit Substitution Principle**. When an operating company faces aggressive capital requirements for expansion, acquisitions, or restructuring, its standalone balance sheet may already be highly leveraged, restricting further direct borrowing. Promoter Funding solves this bottleneck by shifting the primary credit appraisal from the company's direct cash flow liabilities to the market value and liquidity of the promoter's equity holdings.

If the promoter's operating company is an established player with robust market capitalization, strong corporate governance, and active trading volumes (referred to as the Anchor), the equity shares themselves represent highly liquid, low-risk financial collateral. By structuring an electronic pledge via depositories (NSDL/CDSL) and routing all dividend cash flows or future sale proceeds through a designated Trust and Retention Account (TRA), the lender effectively substitutes the operational credit risk of the borrowing promoter with the market stability and institutional credit quality of the Anchor company. This allows promoters to raise cost-effective capital to fund new project margins, venture equity contributions, or strategic acquisitions that would otherwise remain unfinanced.

1.3 Soft vs. Hard Promoter Funding Structures

Promoter Funding can be categorized based on its structural priority, security covenants, and legal enforceability:

1. **Soft Promoter Funding (Pre-Strategic / Growth Capital):**

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- *Definition:* Credit facilities extended to promoters of stable, dividend-paying companies to fund secondary business expansion, launch sister concerns, or meet short-term personal liquidity requirements.
- *Security Covenants:* Typically secured by a standard pledge of shares with moderate Loan-to-Value (LTV) ratios (typically 35% to 50%), supported by personal guarantees of the promoters and covenants on dividend sweeps.
- *Regulatory Framework:* Governed by contractual loan agreements, depository pledge rules, and standard hypothecation laws under the Transfer of Property Act, 1882.

2. **Hard Promoter Funding (Acquisition-Linked / Distress-Driven / Bridge-to-Exit):**
   - *Definition:* Structured credit extended to promoters to fund strategic corporate acquisitions (such as buying out a competitor), creep-in acquisitions to increase holding stakes, or to prevent a debt default on other systemic liabilities that could trigger a forced pledge invocation.
   - *Security Covenants:* Characterized by extremely stringent covenants, including lower LTV ratios (25% to 35%), mandatory cash margins held in lien-marked fixed deposits, escrow control over consolidated OpCo dividend distributions, and immediate Mark-to-Market (MTM) margin calls.
   - *Legal Protections:* Backed by absolute, irrevocable powers of attorney (PoAs) authorizing the lender to execute immediate sales of pledged shares in the open market upon a breach of the MTM triggers, bypassing lengthy judicial foreclosure delays.

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Module 2: Structural Comparative Taxonomy (The Credit Matrix)

To fully master the underwriting and structural mechanics of Promoter Funding, a trainee must understand how this product compares to other prominent secured and unsecured financing instruments in India:

Credit Dimension	Promoter Funding Solutions	Loan Against Securities (LAS)	Loan Against Property (LAP)	Standard Corporate Term Loans
Primary Underwriting Focus	Market value of promoter's holding, stock volatility, free float, and strategic exit/takeout event.	Value of personal investment portfolio (retail shares, mutual funds) and standalone personal income.	Long-term market valuation and clear legal title search of physical real estate (commercial/residential).	Historical balance sheet strength, operational EBITDA, debt-service capability, and business cash flows.
Repayment Structure	Bullet repayment at maturity or structured sweeps from dividend cash flows, strategic asset sales, or refinancing.	Revolving limit (repayable on demand) with interest computed daily on the utilized balance.	Monthly or quarterly amortizing EMI (principal + interest) over a long-term repayment cycle.	Structured monthly or quarterly amortizing principal and interest payments over 3 to 7 years.
Indicative LTV Range	Conservative: **25% to 50%**, strictly capped based on asset category and stock liquidity.	Standardized: **50% for equity** (statutory limit), **70% for mutual funds**, and **85% for debt instruments**.	Standardized: **40% to 65%** of the certified fair market value of the physical real property.	Asset-backed: **65% to 80%** of the specific plant, machinery, or project assets being funded.
Collateral Security	Irrevocable pledge of promoter equity shares via CDSL/NSDL, escrow over dividends, and personal guarantees.	Pledge of diversified retail stocks/mutual funds held in personal demat accounts.	First equitable or registered mortgage of physical land and building assets via SRO deed registration.	First charge on plant & machinery, land, building, and second charge on current assets.
Tenure Range	Short to Medium Term: **12 months to 36 months**, strictly aligned to the promoter's liquidity exit event.	Revolving in perpetuity: Subject to annual credit review and portfolio valuation.	Long-term: **5 years to 15 years**, facilitating comfortable amortization of large debt sizes.	Medium to Long-Term: **36 months to 84 months** with initial moratoriums.

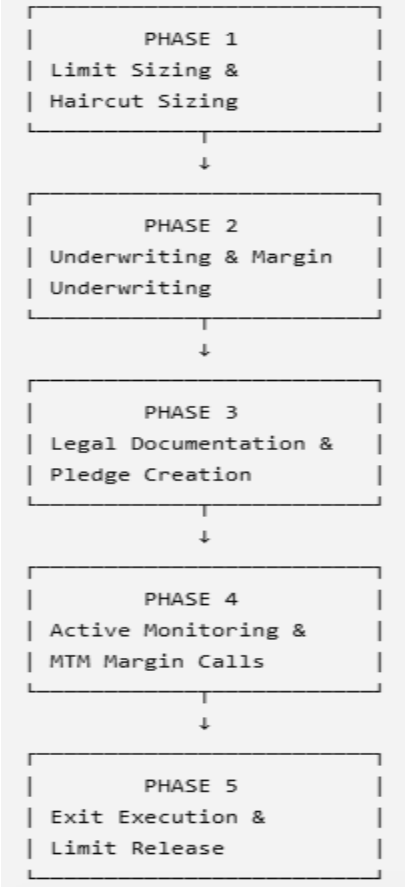
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Credit Dimension	Promoter Funding Solutions	Loan Against Securities (LAS)	Loan Against Property (LAP)	Standard Corporate Term Loans
CERSAI & ROC Filings	Mandatory ROC filing (Form CHG-1) and depository pledge registration.	Pledge registration with CDSL/NSDL; ROC filing if borrower is a corporate entity.	Mandatory registration of equitable/registered mortgage with CERSAI and ROC within 30 days.	Mandatory registration of first/second charges with CERSAI and ROC within 30 days.
Balance Sheet Treatment	Disclosed under secured short-term or long-term borrowings on the promoter holding company's balance sheet.	Disclosed under current liabilities as secured short-term borrowings or bank overdrafts.	Non-current liability; long-term secured borrowing with current maturities.	Non-current liability; long-term structured debt on the operating company's balance sheet.

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Module 3: The End-to-End Operational Lifecycle of Promoter Funding

The execution and management of a Promoter Funding transaction follow a highly structured, risk-mitigated operational pipeline to manage daily stock market volatility and ensure capital protection.



3.1 Phase 1: Limit Sizing and Haircut Sizing

The operational lifecycle begins with a comprehensive quantitative analysis of the promoter's stock portfolio. Lenders do not look at the face value of the shares; instead, they compute a customized **underwriting haircut** based on the 180-day historical beta, average daily trading volume (ADTV), and free float of the operating company's shares. The gross market value of the shares proposed for the pledge is discounted by this haircut to establish the maximum permissible loan limit. For example, if a promoter holds shares worth ₹100 Crores, and the stock is classified as a Category B asset with a 65% haircut, the maximum loan limit is capped strictly at ₹35 Crores (representing an LTV of 35%).

3.2 Phase 2: Underwriting and Margin Sizing

Once the loan limit is sized, the credit committee underwrites the **Exit or Takeout Event**—the primary source from which the loan principal will be repaid. Unlike Cash Credit limits which are

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repaid from ongoing inventory cycles, Promoter Funding requires a defined, highly probable liquidity event. This can include: 1. Scheduled dividend payouts from a highly profitable operating company. 2. A pre-negotiated secondary stake sale to a private equity (PE) fund or strategic investor. 3. An upcoming public issue (IPO/OFS) or debt refinancing from a larger institution. Simultaneously, the underwriter establishes the **Initial Margin, Maintenance Margin, and Liquidation Triggers** based on the stock's historical downside volatility.

3.3 Phase 3: Legal Documentation and Depository Pledge Creation

In this phase, the legal architecture is finalized. The promoter executes the **Sponsor Financing Agreement** and the **Irrevocable Depository Pledge Instruction Deed**. The electronic pledge is created via a tripartite transaction between the borrower, the lender, and the depository participant (CDSL or NSDL). The promoter initiates the pledge through their demat account, and the lender formally accepts the pledge via its depository participant system. A critical legal covenant is the **"Irrevocable Power of Attorney (PoA)"** granted to the lender. This PoA authorizes the lender to sell the pledged shares directly on the National Stock Exchange (NSE) or Bombay Stock Exchange (BSE) without prior notice or seeking subsequent judicial permission if a liquidation trigger is breached. The pledge is also registered on the ROC portal (Form CHG-1) within the statutory 30-day window.

3.4 Phase 4: Active Monitoring, MTM, and Margin Calls

Because equity markets operate in real-time, the lender's risk management team monitors the pledged stock price on a continuous basis. A daily **Mark-to-Market (MTM)** sheet is generated at the close of every trading day. If the share price drops, reducing the effective LTV below the required Maintenance Margin, an automatic **Margin Call** is triggered. The promoter is contractually bound to restore the margin within a strict **24-to-48-hour window** by: 1. Pledging additional shares of the operating company to restore the LTV ratio. 2. Depositing top-up cash or lien-marking a Fixed Deposit in favor of the lender. 3. Repaying a portion of the outstanding loan principal to reduce the leverage. If the promoter fails to meet the margin call, or if the stock price drops past the absolute **Liquidation Trigger**, the lender's risk management desk immediately invokes the pledge and executes open-market block sales of the shares on the stock exchanges.

3.5 Phase 5: Exit Execution and Limit Release

Upon the materialization of the scheduled takeout event (such as the closing of a strategic sale or dividend payout), the proceeds are routed directly into the designated Trust and Retention Account (TRA). The escrow agent applies the cash waterfall: first liquidating the outstanding interest, processing fees, and principal. Once the debt is paid in full, the lender issues a No Objection Certificate (NOC), formally releases the depository pledge via CDSL/NSDL, and files the satisfaction of charge with the ROC.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Credit underwriting in Promoter Funding requires a quantitative and qualitative assessment of the stock's market profile and the promoter's corporate governance standards.

4.1 Approved Securities Classification and Haircut Mechanics

Lenders classify equity shares into three distinct risk tiers to determine haircuts and LTV limits:

1. **Category A Shares (Blue-chip / High Liquidity):**
   - *Profile:* Shares of companies listed on the Nifty 50 or Sensex, with high average daily trading volumes, institutional holding (>30%), and very low historical volatility.
   - *Haircut Range:* **50%** (strict statutory minimum under RBI guidelines for individual borrowers), representing a maximum **50% LTV**.
2. **Category B Shares (Mid-Cap / Moderate Liquidity):**
   - *Profile:* Shares of established mid-cap companies, with moderate trading volumes, stable dividend track records, and manageable debt-to-equity ratios.
   - *Haircut Range:* **60% to 65%**, restricting the maximum LTV to **35% to 40%**.
3. **Category C Shares (Small-Cap / Low Liquidity / Unlisted):**
   - *Profile:* Shares of small-cap or unlisted entities, with high promoter holding concentrations, low free float, high stock price volatility, or thin trading volumes.
   - *Haircut Range:* **70% to 80%**, capping LTV strictly at **20% to 30%** (often requiring additional cash or physical property collateral).

4.2 Key Credit Risk Ratios and Underwriting Scorecards

Lenders evaluate several operational and financial metrics to assess credit viability:

- **Promoter Holding Concentration:** Lenders prefer operating companies where total promoter holding is between **30% and 65%**. If the promoter has already pledged more than **50% of their total stake** to other lenders, the credit risk increases exponentially due to the risk of a systemic "domino effect" share liquidation.
- **Free Float Ratio:** The percentage of shares held by public and retail investors must be **>25%**. Low free float leads to high price manipulation risks and thin liquidity, making it difficult for the lender to execute block sales during foreclosure.
- **Debt-to-Equity Ratio of the OpCo:** The underlying operating company must maintain a conservative leverage ratio (target **Debt-to-Equity < 1.50:1**), ensuring its cash flows are not heavily consumed by operational debt servicing.

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- **Interest Coverage Ratio (ICR):** The underlying company must have an ICR **>2.0x**, indicating strong profitability to support continuous dividend distributions, which serve as a critical secondary repayment source.
- **Promoter CIBIL Score & CMR:** Promoters must possess a CIBIL score **>700** and a CIBIL MSME Rank (CMR) between **CMR 1 and CMR 4**. This ensures a solid track record of debt discipline and minimizes moral hazard risks.

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Module 5: Legal Security Architecture, Depository Covenants, and Foreclosure

The legal structure of Promoter Funding is built on robust contract laws and depository mandates that allow the lender to enforce immediate security rights in a volatile market.

5.1 Depository Pledge Laws in India

The creation and enforcement of a share pledge are governed by the following statutory frameworks:

1. **Section 172 of the Indian Contract Act, 1872:**
   - This section defines a **Pledge** as the bailment of goods (including dematerialized securities) as security for payment of a debt. The promoter (Pledgor) transfers constructive possession of the shares to the lender (Pledgee). The legal title remains with the pledger, but the lender secures the right of sale upon a default.
2. **The Depositories Act, 1996 & Depository Regulations:**
   - These regulations govern the electronic pledge creation process via **NSDL (National Securities Depository Limited)** and **CDSL (Central Depository Services Limited)**. The pledge is executed digitally using depository participant (DP) portals, ensuring that the shares are locked in the promoter's demat account, preventing any unauthorized sales, transfers, or corporate actions (like share splitting or bonus issues) without the lender's digital consent.

5.2 Forensic Title Verification and SRO Search Covenants

In Promoter Funding transactions that involve a composite security structure (such as pledging shares along with a charge on physical holding company offices or real estate), the legal team executes a **minimum 13-to-30-year search at the Sub-Registrar's Office (SRO)**. This ensures that any physical assets offered as secondary collateral are completely free from prior encumbrances, family disputes, or statutory tax liens.

5.3 Power of Attorney and Foreclosure Rights under SARFAESI Act, 2002

While physical mortgages require lengthy foreclosure processes under the **SARFAESI Act, 2002** (requiring 60-day Section 13(2) demand notices and subsequent 30-day possession notices), depository pledges are exempt from these delays. * By executing an **Irrevocable Power of Attorney (PoA)** and securing a digital pledge on CDSL/NSDL, the lender obtains the statutory right of immediate sale under the Indian Contract Act. If the promoter defaults or breaches an MTM trigger, the lender can instantly invoke the pledge and sell the shares on the NSE/BSE stock exchanges. This allows the lender to recover outstanding capital in real-time, isolating their capital from the borrower's operational insolvency.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Promoter Funding aligns with sectors characterized by high capital intensity, strong holding company structures, and active capital market participation.

6.1 Suitable Business Profiles and Use Cases

1. **FMCG & Consumer Goods:** Promoters of highly cash-generative FMCG companies utilize promoter funding to fund strategic acquisitions of niche digital-first brands, leveraging their high-value, low-volatility Category A shares.
2. **Infrastructure, Roads & EPC Developers:** Developers holding massive equity stakes in Road SPVs or highway concessionaires raise promoter funding to meet their equity contribution margins for new National Highways Authority of India (NHAI) HAM projects.
3. **Automotive & Ancillaries:** Promoters pledge shares to fund capex requirements for new manufacturing lines, capitalizing on their stable mid-cap Category B share profiles.
4. **Pharmaceuticals & Healthcare:** Promoters utilize structured funding to finance capital-intensive R&D pipelines or clinical trials before qualifying for long-term product-licensing revenues.

6.2 Working Capital and Commercial Credit Data in India

To align credit appraisal with the actual Indian market, underwriters must reference the following macroeconomic benchmarks and trends compiled from corporate registries and public sector banks:

- **SME and Trader Concentrations:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This indicates that while large promoters use equity pledge markets for massive capital events, the underlying distribution ecosystems rely heavily on high-velocity working capital.
- **Digital Public Credit Infrastructure:** Large public sector banks have established automated, real-time supply chain financing portals to deliver credit to these distribution networks. State Bank of India (SBI) leads this digital transformation:
  - **SBI e-DFS (Electronic Dealer Financing Scheme):** Supports distributors with a portfolio size of **₹49,261 Crores**, automating drawdowns against corporate anchors.
  - **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with a portfolio size of **₹28,092 Crores**, utilizing automated invoice discounting linked to corporate anchors. Underwriters cross-reference these digital data trails to validate the consolidated cash flows of the operating companies before approving the promoter's holding company leverage.

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Module 7: Commercial Pricing Mechanics and Financial Models

The specialized, high-risk nature of Promoter Funding is reflected in its commercial pricing structure. Because lenders accept capital market risk, they charge a premium, but structure the facility to optimize the net cost of capital through daily reducing balance mechanics and tax efficiency.

7.1 Pricing Benchmarks and Fees

- **Interest Rate Spreads:** Typically priced over the bank's **Marginal Cost of Funds Based Lending Rate (MCLR)** or the **External Benchmark Linked Rate (EBLR)** tied to the RBI Repo Rate. For structured promoter funding, banks and NBFCs charge an additional "market volatility premium," pushing all-in interest rates to **10.50% to 15.50% p.a.** for Category A holdings, and **14.00% to 18.00% p.a.** for Category B/C holdings.
- **Arrangement / Processing Fees:** Charged upfront, typically ranging from **1.00% to 2.50%** of the sanctioned limit, reflecting the intensive legal, depository, and risk underwriting required.
- **GST Treatment:** Upfront processing fees, depository pledge creation charges, and legal appraisal costs attract standard **18% GST**. However, the **interest charged on the daily utilized balance is completely exempt from GST**, making reducing-balance debt significantly cheaper than fee-heavy alternative structures.
- **Corporate Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business purposes (including funding business expansion through a promoter holding company) is a fully deductible business expense. Promoting entities utilize this tax shield to offset their corporate tax liabilities (at standard corporate tax rates of **25.17%** for manufacturing companies or **31.20%** for general corporates), reducing the effective post-tax cost of borrowing.

7.2 Financial Mathematics of Daily Reducing Balance

Traditional loans charge interest on the entire disbursed principal. In contrast, structured Promoter Funding operates on a **daily reducing balance negative current account limit**. Interest accrues daily only on the exact outstanding balance utilized at the close of each banking day, using the formula:

$$Daily\ Interest\ Accrual = \frac{Outstanding\ Balance \times Annual\ Interest\ Rate}{365}$$

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Module 8: Regulatory Compliance, RBI Statutory Restrictions, and IRACP Asset Classification

Promoter Funding lenders must navigate a rigid regulatory environment to prevent systemic capital market risks and ensure strict compliance with banking norms.

8.1 RBI Statutory Caps on Loans Against Shares

To prevent excessive retail speculation and promoter over-leverage, the Reserve Bank of India (RBI) enforces strict regulatory boundaries:

1. **Individual Borrowing Cap:** Under the RBI Master Circular, banks are prohibited from extending loans against shares to **individual borrowers exceeding ₹20 Lakhs** for dematerialized shares (and ₹10 Lakhs for physical shares).
2. **Corporate & HoldCo Exemptions:** This individual cap **does not apply to corporate borrowers, promoter holding companies, or NBFCs**. Promoter holding companies can raise large-scale funding (e.g., ₹100 Crores or more), provided the transaction is structured for corporate growth, equity contributions, or strategic acquisitions, and is fully approved by their board.
3. **Primary Urban Cooperative Banks (PCBs) Prohibition:** Under RBI guidelines, PCBs are **completely prohibited** from extending any form of loans against shares, promoter funding, or financial guarantees to secure depository pledges, minimizing risk in the cooperative banking sector.
4. **Acquisitions Funding Restriction:** Indian commercial banks are generally prohibited from directly funding corporate acquisitions of shares. Therefore, promoters utilize specialized NBFCs (Category I / II) or Alternative Investment Funds (AIFs) to raise structured promoter funding to execute strategic buyouts, bypassing direct banking constraints.

8.2 RBI IRACP Asset Classification and “Out of Order” Triggers

Under the RBI’s **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines**, loans are classified as non-performing assets (NPAs) if they remain irregular for a specified window:

- **The 90-Day Delinquency Clock:** For fund-based facilities (including promoter term loans), an account is classified as an NPA if the interest or principal remains overdue for more than **90 days**.
- **Special Mention Account (SMA) Categorization:** Accounts are tracked through early warning stages:
  - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.
  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.

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- **“Out of Order” Status for Overdraft/Revolving Limits:** A revolving promoter funding limit is classified as “Out of Order” (and downgraded to an NPA) if the outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**, or if there are no credit inflows sufficient to cover the interest debited during the same window.

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Module 9: Comprehensive Real-World Case Study (Mumbai Enterprises Pvt. Ltd. / MEPL)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a structured Promoter Funding transaction for a strategic corporate acquisition.

9.1 The Corporate Profile and Acquisition Mandate

- **The Pledgor/Borrower:** *Mr. Rajesh Mehta & Promoter Group*, controlling owners of *Mumbai Engineering & Technology Ltd. (METL)*.
- **The Holding Company:** *Mehta Promoter Holdings Pvt. Ltd. (MPHPL)* (corporate tax rate **25.17%**).
- **The Anchor Company:** *Mumbai Engineering & Technology Ltd. (METL)* (listed on NSE, Category B mid-cap share, current share price **₹500**, total promoter holding **45%**).
- **The Opportunity:** The promoters want to acquire a strategic competitor, *Apex Tooling & Die Works Pvt. Ltd.*, for a purchase value of **₹15,00,00,000 (₹15 Crores)**. The acquisition is estimated to increase METL's consolidated market share by 25%.
- **The Funding Gap:** Standalone commercial banks cannot fund the share purchase due to RBI restrictions on acquisition financing. Mr. Mehta decides to pledge a portion of his promoter shareholding in METL via his Holding Company (MPHPL) to raise the ₹15 Crores from a specialized non-banking financial company (NBFC).

9.2 The Structured Promoter Funding Solution (Pathway B)

The NBFC structures a 180-day Promoter Funding facility with the following parameters: 1. **Facility Sizing:** A structured term loan of **₹15,00,00,000 (₹15 Crores)** is sanctioned to MPHPL. 2. **Share Pledge Security:** Backed by a pledge of **1,00,00,000 (1 Crore) shares** of METL. At a share price of ₹500, the gross collateral value is **₹50,00,00,000 (₹50 Crores)**. 3. **Loan-to-Value (LTV) Ratio:** The initial LTV is structured at **30%** (a 70% haircut, Category B mid-cap stock), ensuring a robust collateral buffer. 4. **Pricing:** Interest is priced at **12.00% p.a.** on a daily reducing balance basis. An upfront processing fee of **1.50%** is charged. 5. **Margin Maintenance Covenants:** * *Initial LTV Limit:* **30%** (Value of shares = ₹50 Cr, Loan = ₹15 Cr). * *Maintenance LTV/Margin Call Trigger:* **40%** (if the share price falls, increasing LTV to 40%, the promoter must pledge additional shares or deposit cash). * *Liquidation Trigger:* **50%** (if LTV reaches 50%, the NBFC holds the legal right to execute immediate open-market share sales under the CDSL/NSDL pledge deed). 6. **Moratorium:** A 180-day moratorium on principal repayment is approved; interest is serviced monthly or capitalized.

9.3 Alternative Pathway A: Standalone Unsecured Corporate Debt

If the promoter group had attempted to raise funding standalone without a structured share pledge (which would be extremely difficult given the distressed acquisition landscape), they would have been forced to approach high-yield distressed debt funds, facing: * Standalone

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unsecured interest rate of **20.00% p.a.** * Upfront processing fee of **3.50%** of the loan value. * No tax-effective structure, and severe cash flow strain due to rigid monthly principal amortization.

9.4 Detailed Mathematical Cost Comparison Model

The following table provides the exact pre-tax and post-tax cost comparison between the Standalone Unsecured Pathway (Pathway A) and the Structured Promoter Funding Pathway (Pathway B) in Indian Rupees over the 180-day cycle:

Financial Metric	Pathway A (Standalone Unsecured Debt)	Pathway B (Structured Promoter Funding)
Loan Principal Amount	₹15,00,00,000	₹15,00,00,000
Pledged Share Quantity	Nil *(No shares pledged)*	1,00,00,000 shares of METL
Collateral Market Value	Nil	₹50,00,00,000 *(at ₹500/share)*
Effective Initial LTV	N/A	**30.00%** *(70% haircut applied)*
Financing Interest Rate	20.00% p.a.	12.00% p.a.
Financing Tenure	180 Days	180 Days
Gross Interest Cost	**₹1,47,94,520.55**	**₹88,76,712.33** *(reducing daily balance)*
Upfront Processing Fee	₹52,50,000.00 *(3.50% of loan)*	₹22,50,000.00 *(1.50% of loan)*
Upfront GST on Fee (18%)	₹9,45,000.00 *(fully recoverable ITC)*	₹4,05,000.00 *(fully recoverable ITC)*
Total Pre-Tax Outlay (Int + Fee)	**₹2,00,44,520.55**	**₹1,11,26,712.33**
Corporate Income Tax Shield (25.17%)	**-₹50,45,205.82**	**-₹28,00,593.49** *(under Section 36(1)(iii))*
Net Post-Tax Financing Cost	**₹1,49,99,314.73**	**₹83,26,118.84**
Effective Annualized Post-Tax Rate	**20.28% p.a.**	**11.26% p.a.**

9.5 Key Financial Findings and “So What” Analysis

The mathematical model reveals a massive divergence in financing efficiency. By utilizing the **Structured Promoter Funding Pathway (Pathway B)**, Mr. Mehta achieves an effective post-tax annualized borrowing rate of **only 11.26% p.a.**, compared to **20.28% p.a.** under the standalone route.

The “So What” Summary: This structured promoter share-pledge program delivers **₹66,73,195.89 (₹66.7 Lakhs) in direct, post-tax cash savings** to Mehta Promoter Holdings Pvt. Ltd. (MPHPL) on a single 180-day cycle. More importantly, because the ₹15 Crore capital was raised securely through a corporate holding structure with a conservative 30% initial LTV, Mr. Mehta was able to fund the acquisition of Apex Tooling, expand METL’s consolidated market presence, and **retain 100% of his company’s voting control**, with zero dilution of his equity base!

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Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Promoter Funding in India.

Question 1

A promoter holding company raises ₹50 Crores against a pledge of Category B shares listed on the NSE. The initial LTV is structured at 30% with a maintenance margin trigger at 40% and a liquidation trigger at 50%. If the share price drops by 30%, increasing the effective LTV to 43%, what is the legal position of the lender? * A) The lender can instantly sell the shares in the open market without notifying the promoter. * B) The lender must issue a formal margin call, allowing the promoter a contractually defined window (typically 24 to 48 hours) to restore the LTV to 30% by pledging additional shares or cash. * C) The lender must file a recovery suit in the Debt Recovery Tribunal (DRT) under the SARFAESI Act, 2002. * D) The LTV increase is automatically capitalized, and the interest rate increases by 2.00% p.a. * **Answer:** B * **Rationale:** Since the LTV of 43% has breached the maintenance trigger of 40% but has not reached the absolute liquidation trigger of 50%, the lender must issue a formal **Margin Call**. The promoter must be given the contractually agreed window (usually 24 to 48 hours) to top up the security (with shares or cash) and restore the LTV to the initial 30%. The lender cannot execute an immediate sale unless the liquidation trigger of 50% is breached or the margin call is ignored.

Question 2

Under Section 172 of the Indian Contract Act, 1872, what is the exact legal nature of a share pledge? * A) It represents an absolute transfer of ownership of the shares to the lender, with a right of repurchase by the promoter. * B) It represents the bailment of shares as security for the payment of a debt, whereby constructive possession is transferred to the lender while legal title remains with the promoter. * C) It is a fiduciary trust agreement that prevents the promoter from voting during shareholder meetings. * D) It is an equitable mortgage on the digital current assets of the operating company. * **Answer:** B * **Rationale:** A pledge under **Section 172 of the Indian Contract Act** is defined as the bailment of goods/securities as security for payment of a debt or performance of a promise. The pledgor (promoter) transfers constructive possession of the shares to the pledgee (lender), while retaining legal ownership and voting rights, until a default occurs.

Question 3

An individual promoter approaches a scheduled commercial bank to raise a loan of ₹50 Lakhs against a pledge of dematerialized shares to fund a personal investment. Applying RBI statutory guidelines, what is the maximum amount the bank can legally advance to this individual? * A) ₹50 Lakhs, subject to a 50% LTV haircut. * B) ₹20 Lakhs, which is the absolute statutory cap on bank loans against dematerialized shares for individual borrowers. * C) ₹10 Lakhs, which is the limit for all equity-linked individual financing. * D) There is no limit, provided the promoter's CIBIL score is >750. * **Answer:** B * **Rationale:** Under the RBI Master Directions, commercial

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banks are subject to a strict statutory borrowing cap of **₹20 Lakhs per individual borrower** for loans secured against dematerialized shares (and ₹10 Lakhs for physical shares). To raise larger limits (such as ₹50 Crores), the borrower must be structured as a corporate entity or a promoter holding company, which is exempt from this individual cap.

Question 4

A promoter group utilizes a structured holding company to raise promoter funding to execute a strategic acquisition of a competitor's shares. Why is this transaction routed through a specialized NBFC rather than a commercial bank? * A) Banks are prohibited from charging interest on promoter loans. * B) Commercial banks are generally prohibited by RBI guidelines from directly funding corporate acquisitions of shares or buyouts, whereas specialized NBFCs can fund these transactions within corporate exposure limits. * C) NBFCs are exempt from registering charges with CERSAI or the ROC. * D) NBFC interest payments do not attract GST, whereas bank interest does. * **Answer:** B * **Rationale:** To prevent speculative bubbles and protect depositors' funds, the RBI generally prohibits commercial banks from directly financing share acquisitions, buyouts, or creep-in promoter acquisitions. Specialized **Category I/II NBFCs** and Alternative Investment Funds (AIFs) are authorized to fund these corporate transactions, making them the primary vehicle for structured promoter funding.

Question 5

A lender has a pledge on 1 Crore shares of a listed mid-cap company. If the company announces a 1:1 share split, how is the pledge security maintained under depository regulations? * A) The promoter must manually execute a new pledge deed for the additional shares. * B) Depository participants (CDSL/NSDL) automatically adjust the locked shares in the pledged demat account, locking the new 2 Crore split shares in favor of the lender. * C) The split shares are automatically sold on the exchange, and the cash is credited to the lender. * D) The pledge is legally dissolved, and the lender must re-underwrite the facility. * **Answer:** B * **Rationale:** Under CDSL and NSDL depository rules, once a pledge is electronically registered on a demat account, all subsequent **corporate actions (such as share splits, bonus shares, or mergers)** are automatically captured. The depository participant system automatically locks the new split or bonus shares in favor of the pledgee (lender), preserving the security ratio without requiring a new contract.

Question 6

Under Section 36(1)(iii) of the Income Tax Act, 1961, what is the tax treatment of interest paid on a promoter funding facility raised by a promoter holding company to fund a subsidiary's capital expansion? * A) The interest is treated as a personal expense and is completely non-deductible. * B) The interest is a fully deductible business expense, creating a tax shield that reduces the holding company's corporate tax liability. * C) The interest is subject to 18% GST and is only partially deductible. * D) Only the upfront processing fee is deductible; the interest is capitalized and non-deductible. * **Answer:** B * **Rationale:** Under **Section 36(1)(iii) of the Income Tax Act**, interest paid on capital borrowed for business purposes is a fully deductible business expense. When a promoter holding company raises debt to fund the

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growth, equity margins, or expansion of its operating businesses, the interest expense is deducted from its taxable corporate income, creating a highly effective corporate interest tax shield.

Question 7

A revolving promoter funding limit of ₹10 Crores is established. If the promoter utilizes ₹8 Crores, but makes zero credit inflows into the account for 90 consecutive days, what is the asset classification of the account under RBI IRACP guidelines? * A) SMA-1 * B) SMA-2 * C) Non-Performing Asset (NPA) under “Out of Order” status * D) Technical Default * **Answer:** C * **Rationale:** Under the RBI’s **Prudential Norms on Income Recognition, Asset Classification, and Provisioning (IRACP)**, a revolving credit limit is classified as an NPA under the **“Out of Order”** trigger if there are no credit inflows into the account for 90 days, or if the inflows are insufficient to cover the interest debited during that same 90-day window.

Question 8

An underwriter is evaluating a listed promoter portfolio. The operating company has a total promoter holding of 60%. However, 55% of this holding is already pledged to other financial institutions. What is the underwriter’s primary risk concern? * A) Dilution of the public free float. * B) The “Domino Effect” risk, whereby a marginal share price drop could trigger a cascading series of forced share sales by other lenders, causing a stock crash and destroying the value of the collateral. * C) The inability of the promoter to collect dividends. * D) The need to register a mortgage with the Sub-Registrar’s Office (SRO). * **Answer:** B * **Rationale:** A high existing pledge concentration (55% of the promoter’s total holding) represents a massive systemic risk. If the stock price experiences a minor correction, any of the existing lenders might initiate a forced liquidation of their shares. This block dumping drives the share price down further, triggering margin calls and forced liquidations for all other lenders (the cascading **domino effect**), which compromises the security value.

Question 9

How does a “Tripartite Escrow and Trust & Retention Account (TRA)” structure protect a promoter funding lender from capital diversion? * A) By allowing the promoter to directly withdraw funds for personal use. * B) By forcing all dividend distributions from the operating company to be paid directly into the escrow TRA managed by a neutral bank, ensuring first-charge debt service before any surplus is released. * C) By exempting the transaction from depository participant pledge rules. * D) By converting the equity shares into physical land titles. * **Answer:** B * **Rationale:** A **Trust & Retention Account (TRA)** structure ensures that all cash flows generated by the underlying asset (such as dividend payouts from the operating company) are paid directly into a monitored bank escrow. The escrow bank applies a strict contractually agreed waterfall, ensuring outstanding interest and principal are paid first, completely bypassing the promoter’s operational accounts and eliminating the risk of cash diversion.

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Question 10

Under the SARFAESI Act, 2002, how long does the foreclosure process take for physical property mortgages, and how does this compare to a depository share pledge? * A) Physical mortgages take 10 days; share pledges take 30 days. * B) Physical mortgages require a minimum of 90 days of statutory notice before sale; whereas depository share pledges can be liquidated instantly in real-time on stock exchanges upon default under the Contract Act. * C) Both physical mortgages and share pledges require a minimum of 180 days of court litigation. * D) Physical mortgages can be sold instantly; share pledges require NCLT approval. * **Answer:** B * **Rationale:** Foreclosing on a physical property mortgage under the **SARFAESI Act** is a lengthy process, requiring a 60-day Section 13(2) demand notice, a subsequent 30-day possession/sale notice, and is subject to DRT appeals. In contrast, a **depository share pledge** under CDSL/NSDL is governed by the Contract Act and depository regulations; upon default, the lender can bypass SARFAESI entirely and execute immediate, real-time open-market share sales, providing unmatched liquidity protection.

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